

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2013-14

Paper No. BCH-215: Fundamentals of Business Finance

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Define business finance. State the traditional and modern views of business finance. [14]

OR

What are the objectives of business finance? Distinguish between the profit maximisation and wealth maximisation. [14]

Question 2.

Define financial planning. Discuss the various steps involved in financial planning. [14]

OR

What are the main features of financial planning? Describe its importance and limitations. [14]

Question 3.

What do you mean by overcapitalisation? State the causes, impact and remedies of overcapitalisation. [14]

OR

Write short notes on the following: [7+7]

(a) Undercapitalisation

(b) Fixed capital

Question 4.

State the various sources of long-term capital. [14]

OR

Write short notes on the following: [7+7]

(a) Debenture

(b) Preference share capital

Question 5.

Define working capital. State the various components of working capital and its importance for the business enterprises. [14]

OR

Write short notes on the following:

[7+7]

- (a) Factoring
- (b) Certificate of deposits